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Leveraged Buyout Model

7/6/2026

By: Tyler Spencer

RETURNS BY SCENARIO

Scenario	MOIC	IRR
Best Case (Bull)	4.38x	34.3%
Base Case	2.48x	19.9%
Worst Case (Bear)	0.97x	-0.5%
Currently running: (Base Case): MOIC 2.48x, IRR 19.9%		
Investment Thesis		
Clears sponsor return hurdle		
Market premium below threshold		

VALUATION

Methodology	Low	High
DCF	\$ 54.19	\$ 65.18
Precedent Transactions	\$ 90.67	\$ 105.95
Comparable Companies	\$ 70.99	\$ 95.40
LBO Range	\$41.90	\$53.32
Currently running: (Base Case): MOIC 2.48x, IRR 19.9%		
Max sponsor bid for 15% IRR: \$53.32		
Max LBO price premium compared to current market: 17.3%		

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Summary Outputs

SUMMARY VALUES FOR BASE CASE SCENARIO

(\$ Millions)	Trend	Projected							
		2023A	2024A	2025A	2026	2027	2028	2029	2030
Income Statement Items									
Net Revenue		29,771.0	31,797.0	33,172.0	34,315.7	35,688.9	37,318.6	39,243.4	41,267.0
Growth			6.8%	4.3%	3.4%	4.0%	4.6%	5.2%	5.2%
EBITDA		6,100.0	6,357.0	7,028.0	7,146.8	7,104.3	7,245.4	7,545.2	7,904.2
Margin		20.5%	20.0%	21.2%	20.8%	19.9%	19.4%	19.2%	19.2%
Growth			4.2%	10.6%	1.7%	-0.6%	2.0%	4.1%	4.8%
Net Income		4,246.0	4,147.0	5,233.0	5,255.4	5,168.7	5,227.8	5,453.4	5,705.3
Margin		14.3%	13.0%	15.8%	15.3%	14.5%	14.0%	13.9%	13.8%
Growth			-2.3%	26.2%	0.4%	-1.6%	1.1%	4.3%	4.6%
LBO Credit Statistics									
Total Debt					25,328.0	22,348.6	18,127.4	13,587.4	8,614.3
Net Debt					24,328.0	21,348.6	17,127.4	12,587.4	7,614.3
Gross Leverage					3.5x	3.1x	2.5x	1.8x	1.1x
Net Leverage					3.4x	3.0x	2.4x	1.7x	1.0x
Interest Coverage					15.1x	15.0x	15.3x	16.0x	16.7x

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Summary Outputs

LBO EQUITY VALUE CREATION

Component	\$mm
Entry Equity	19,244.9
Change in EBITDA	8,065.2
Change in Multiple	0.0
Debt Paydown	21,769.7
Less: Fees	(1,364.9)
Exit Equity	47,714.9
Check	0.0

DCF VALUATION

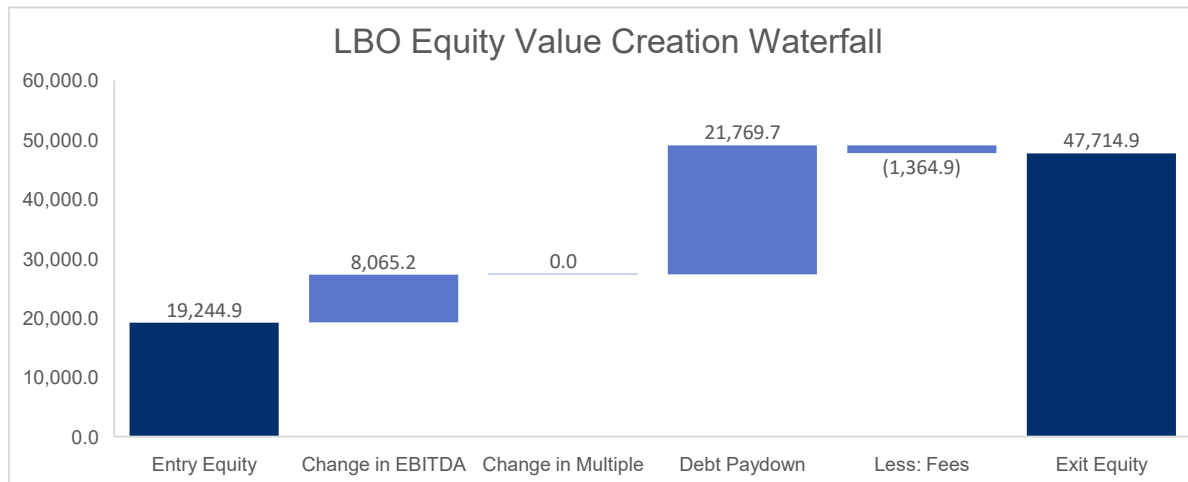
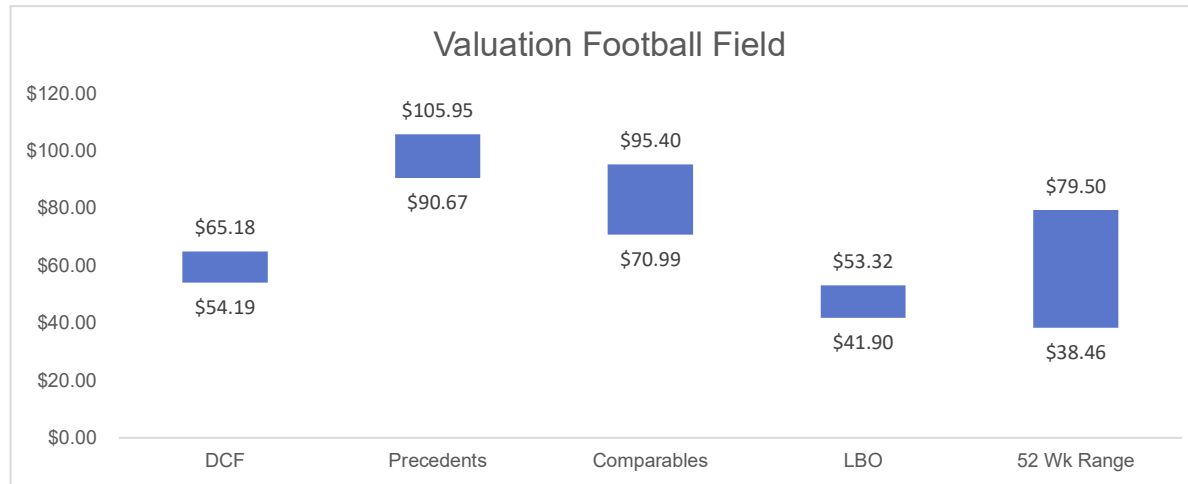
	Perpetuity	EBITDA
EV	55,213.6	53,479.9
Net debt	(3,369.0)	(3,369.0)
Equity value	58,582.6	56,848.9
Shares outstanding	952.421	952.421
Equity value/ share	\$ 61.51	\$ 59.69

VALUATION SUMMARY

	Methodology	Low	Difference	High
DCF Value at 6.0x-8.0x Exit EBITDA Range at 9.6% WACC	DCF	\$54.19	\$10.99	\$65.18
Implied precedent transaction value at 12.3x-14.4x based on LTM EBITDA	Precedents	\$90.67	\$15.28	\$105.95
Implied comparable company value at 9.5x-13.0x based on LTM EBITDA	Comparables	\$70.99	\$24.40	\$95.40
Offer value/share at 15.0% - 30.0% IRR	LBO	\$41.90	\$11.41	\$53.32
52 Week Market High/Low	52 Wk Range	\$38.46	\$41.04	\$79.50

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Summary Outputs



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Inputs and Assumptions

GENERAL

- First year of forecast in financial model: 2026
- Three scenarios have been used for Total Payment Volume (TPV), Take Rate Compression, Other Value Added Services, Transaction Expense, Transaction and Credit Losses, and Technology and Development

EQUITY

Most Recent Stock Price	\$45.47
Stock Price Date	7/5/2026
Shares Outstanding 1/28/26 (in MM)	920.664
LTM Average Share Price	\$58.49
Outstanding RSU's	31.757
Dividend Per Share	\$ 0.56

SCENARIO CASES

- The Total Payment Volume cases are as follows:

Pricing Case

Base Case	Research Forecast
Best Case	+2.0%
Worst Case	(2.0%)

REVENUE DRIVERS

Total Payment Volume Growth	6.0%
Take Rate Compression Year 1	-0.04%
Other Value-Added Services Growth	4.0%

COSTS

Driver

Transaction Expenses	% of TPV	0.89%
Transaction & Credit Losses	% of TPV	0.096%
Customer Support & Operations	% of rev	5.1%
Sales & Marketing	% of rev	6.9%
Technology & Development Growth	%	3.0%
General & Administrative	%	2.0%
Stock-based compensation	% of rev	3.4%

INTEREST RATES

Interest earned on Cash balances:	3.0%
Interest rate on Bank Revolver:	
Interest rate on Senior Secured Term Debt:	3.9%
Yield on customer balances:	3.20%
Customer funds balance growth:	3.0%

Capex & D&A

Capital Expenditures	% of rev	2.4%
D&A	% of capex	Smoothed to 100%

TAXES

Tax rate assumed in the model:	21.0%
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Inputs and Assumptions

Debt Repayment		
Year		
2026	10-K FY 2025 p. 105	1,397.0
2027	10-K FY 2025 p. 105	1,075.0
2028	10-K FY 2025 p. 105	1,137.0
2029	10-K FY 2025 p. 105	1,500.0
2030	10-K FY 2025 p. 105	1,000.0

Circuit Breaker & Other	
Circuit Breaker	OFF
Minimum cash of \$1,000M assumes upstream distributions from regulated subsidiaries are feasible; actual sweepable cash may be lower due to money-transmitter licensing requirements at PayPal, Inc. (FY2025 10-K pp. 10, 44).	

OTHER ASSUMPTIONS		2024	2025	2026	2027	2028	2029	2030
Take Rate Compression	%			-0.04%	-0.03%	-0.02%	-0.01%	-0.01%
Capital Expenditures	MM			\$823.6	\$856.5	\$895.6	\$941.8	\$990.4
Income Tax								
Reduction in EBT for timing differences	MM	1,100	1,033	1,144	760	504	335	222
Capitalized R&D DTA, year-end	MM	1,077	715	475	315	209	139	92
Annual reversal rate (% of prior-year DTA)			33.6%					
Annual DTA reversal	MM			240	160	106	70	47
Working Capital Days								
Accounts Receivable	days	11.3	9.2	9.2	9.2	9.2	9.2	9.2
Prepaid Expenses	days	32.2	34.4	34.4	34.4	34.4	34.4	34.4
Accounts Payable	days	4.4	4.5	4.5	4.5	4.5	4.5	4.5
Other Liabilities	days	85.2	86.7	86.7	86.7	86.7	86.7	86.7
LTM Revenue	MM			33,734.0				
LTM EBITDA	MM			6,752.0				

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Scenario Analysis

Scenario Switch Base Case ▼

Total Payment Volume (TPV)

Best Case 2.00%
Base Case
Worst Case (2.00%)

Take Rate Compression

Best Case 0.005%
Base Case
Worst Case (0.005%)

Other Value-Added Services, ex-interest

Best Case 3.00%
Base Case
Worst Case (3.00%)

Transaction Expense

Best Case (0.03%)
Base Case
Worst Case 0.03%

Projected				
2026	2027	2028	2029	2030
6.00%	6.00%	6.00%	6.00%	6.00%
8.00%	8.00%	8.00%	8.00%	8.00%
6.00%	6.00%	6.00%	6.00%	6.00%
4.00%	4.00%	4.00%	4.00%	4.00%
(0.040%)	(0.030%)	(0.020%)	(0.010%)	(0.010%)
(0.035%)	(0.025%)	(0.015%)	(0.005%)	(0.005%)
(0.040%)	(0.030%)	(0.020%)	(0.010%)	(0.010%)
(0.045%)	(0.035%)	(0.025%)	(0.015%)	(0.015%)
4.00%	4.00%	4.00%	4.00%	4.00%
7.00%	7.00%	7.00%	7.00%	7.00%
4.00%	4.00%	4.00%	4.00%	4.00%
1.00%	1.00%	1.00%	1.00%	1.00%
0.89%	0.89%	0.89%	0.89%	0.89%
0.87%	0.87%	0.87%	0.87%	0.87%
0.89%	0.89%	0.89%	0.89%	0.89%
0.92%	0.92%	0.92%	0.92%	0.92%

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Scenario Analysis

Transaction and Credit Losses

Best Case (0.01%)
 Base Case
 Worst Case 0.01%

0.10%	0.10%	0.10%	0.10%	0.10%
0.09%	0.09%	0.09%	0.09%	0.09%
0.10%	0.10%	0.10%	0.10%	0.10%
0.11%	0.11%	0.11%	0.11%	0.11%

Technology and Development

Best Case (1.00%)
 Base Case
 Worst Case 1.00%

3.00%	3.00%	3.00%	3.00%	3.00%
2.00%	2.00%	2.00%	2.00%	2.00%
3.00%	3.00%	3.00%	3.00%	3.00%
4.00%	4.00%	4.00%	4.00%	4.00%

LBO Exit Multiple

Best Case 1.0x
 Base Case
 Worst Case (1.0x)

7.0x	7.0x	7.0x	7.0x	7.0x
8.0x	8.0x	8.0x	8.0x	8.0x
7.0x	7.0x	7.0x	7.0x	7.0x
6.0x	6.0x	6.0x	6.0x	6.0x

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Revenue Build

(\$ Millions)

	2023A	2024A	2025A	<i>Projected</i>				
				2026	2027	2028	2029	2030
Revenue by Service								
Transaction Revenue	26,857.0	28,842.0	29,798.0	30,826.9	32,073.2	33,571.2	35,359.5	37,241.5
Other Value-Added Services	2,914.0	2,955.0	3,374.0	3,488.8	3,615.7	3,747.4	3,883.9	4,025.5
Total	29,771.0	31,797.0	33,172.0	34,315.7	35,688.9	37,318.6	39,243.4	41,267.0
Transaction Revenue								
Total Payment Volume (TPV)	1,527,000.0	1,680,000.0	1,790,000.0	1,897,400.0	2,011,244.0	2,131,918.6	2,259,833.8	2,395,423.8
Take rate	1.76%	1.72%	1.66%	1.62%	1.59%	1.57%	1.56%	1.55%
Revenue	26,857.0	28,842.0	29,798.0	30,826.9	32,073.2	33,571.2	35,359.5	37,241.5
Other Value-Added Services								
Total OVAS Revenue	2,914.0	2,955.0	3,374.0	3,488.8	3,615.7	3,747.4	3,883.9	4,025.5
Customer funds balance	38,935.0	37,671.0	38,198.0	39,343.9	40,524.3	41,740.0	42,992.2	44,282.0
Effective yield	2.32%	3.41%	3.22%	3.20%	3.20%	3.20%	3.20%	3.20%
Interest on customer balances	904.0	1,284.0	1,230.0	1,259.0	1,296.8	1,335.7	1,375.7	1,417.0
Remaining OVAS, ex-interest	2,010.0	1,671.0	2,144.0	2,229.8	2,319.0	2,411.7	2,508.2	2,608.5

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Income Statement

(\$ Millions)

	2023A	2024A	2025A	<i>Projected</i>				
				2026	2027	2028	2029	2030
Net Revenue	29,771.0	31,797.0	33,172.0	34,315.7	35,688.9	37,318.6	39,243.4	41,267.0
Transaction Expense	(14,385.0)	(15,697.0)	(15,987.0)	(16,886.9)	(17,900.1)	(18,974.1)	(20,112.5)	(21,319.3)
Transaction and Credit Losses	(1,682.0)	(1,442.0)	(1,720.0)	(1,821.5)	(1,930.8)	(2,046.6)	(2,169.4)	(2,299.6)
Customer Support and Operations	(1,919.0)	(1,768.0)	(1,704.0)	(1,750.1)	(1,820.1)	(1,903.2)	(2,001.4)	(2,104.6)
Gross Profit	\$11,785.0	\$12,890.0	\$13,761.0	\$13,857.2	\$14,037.9	\$14,394.6	\$14,960.0	\$15,543.5
Sales and Marketing	(1,809.0)	(2,001.0)	(2,283.0)	(2,367.8)	(2,462.5)	(2,575.0)	(2,707.8)	(2,847.4)
Technology and Development	(2,973.0)	(2,979.0)	(3,103.0)	(3,196.1)	(3,292.0)	(3,390.7)	(3,492.5)	(3,597.2)
General and Administrative	(2,059.0)	(2,147.0)	(1,979.0)	(2,018.6)	(2,059.0)	(2,100.1)	(2,142.1)	(2,185.0)
Restructuring and Other	84.0	(438.0)	(331.0)	0.0	0.0	0.0	0.0	0.0
EBIT	5,028.0	5,325.0	6,065.0	6,274.8	6,224.4	6,328.7	6,617.6	6,913.9
Interest Income (Expense)				(131.3)	(88.3)	(50.1)	(8.3)	44.2
Other Income (expense), net	383.0	4.0	227.0	204.7	204.7	204.7	204.7	204.7
EBT	5,411.0	5,329.0	6,292.0	6,348.2	6,340.8	6,483.4	6,814.0	7,162.8
Income Tax Expense	(1,165.0)	(1,182.0)	(1,059.0)	(1,092.8)	(1,172.0)	(1,255.6)	(1,360.6)	(1,457.5)
Net Income	4,246.0	4,147.0	5,233.0	5,255.4	5,168.7	5,227.8	5,453.4	5,705.3
Depreciation & Amortization	(1,072.0)	(1,032.0)	(963.0)	(872.1)	(879.9)	(916.7)	(927.6)	(990.3)
EBITDA	6,100.0	6,357.0	7,028.0	7,146.8	7,104.3	7,245.4	7,545.2	7,904.2
Stock Based Compensation	1,145.0	1,326.0	1,135.0	1,166.7	1,213.4	1,268.8	1,334.3	1,403.1
Adjusted EBITDA				8,313.6	8,317.7	8,514.3	8,879.5	9,307.3

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Income Statement

(\$ Millions)

Growth Rates & Margins								
Revenue Growth Rate		6.8%	4.3%	3.4%	4.0%	4.6%	5.2%	5.2%
Transaction Expenses	48.3%	49.4%	48.2%	49.2%	50.2%	50.8%	51.3%	51.7%
Transaction & Credit Losses	5.6%	4.5%	5.2%	5.3%	5.4%	5.5%	5.5%	5.6%
Customer Support & Operations		-7.9%	-3.6%	2.7%	4.0%	4.6%	5.2%	5.2%
Sales & Marketing		10.6%	14.1%	3.7%	4.0%	4.6%	5.2%	5.2%
Technology & Development Growth		0.2%	4.2%	3.0%	3.0%	3.0%	3.0%	3.0%
General & Administrative		4.3%	-7.8%	2.0%	2.0%	2.0%	2.0%	2.0%
Stock-based compensation								
Gross Profit Margin	39.6%	40.5%	41.5%	40.4%	39.3%	38.6%	38.1%	37.7%
EBITDA Margin	20.5%	20.0%	21.2%	20.8%	19.9%	19.4%	19.2%	19.2%
EBIT Margin	16.9%	16.7%	18.3%	18.3%	17.4%	17.0%	16.9%	16.8%
Return on Equity				24.8%	23.3%	22.4%	22.0%	21.5%

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Balance Sheet

(\$ Millions)

	2024A	2025A	<i>Projected</i>				
			2026	2027	2028	2029	2030
Assets							
Cash & Equivalents	10,924.0	10,422.0	10,036.9	9,915.7	9,829.0	9,630.3	10,303.1
Accounts Receivable, Net	984.0	840.0	864.9	899.6	938.1	989.1	1,040.2
Inventory and Interest Receivable, Held for Sale	541.0	1,726.0	1,785.5	1,857.0	1,941.8	2,041.9	2,147.2
Loans and Interest Receivable, Net of Allowances	6,422.0	6,746.0	6,978.6	7,257.8	7,589.3	7,980.7	8,392.2
Funds Receivable and Customer Accounts	37,671.0	38,198.0	39,515.0	41,096.2	42,972.8	45,189.3	47,519.5
Prepaid Expenses and Other Current Assets	1,664.0	1,827.0	1,928.1	2,040.5	2,154.6	2,288.6	2,424.4
Total Current Assets	58,206.0	59,759.0	61,109.0	63,066.8	65,425.5	68,120.0	71,826.5
Long-Term Investments	4,583.0	4,330.0	4,330.0	4,330.0	4,330.0	4,330.0	4,330.0
Property and Equipment, Net	1,508.0	1,700.0	1,749.5	1,788.2	1,815.1	1,829.4	1,829.5
Goodwill	10,837.0	10,864.0	10,864.0	10,864.0	10,864.0	10,864.0	10,864.0
Intangible Assets, Net	326.0	208.0	110.0	48.0	0.0	0.0	0.0
Other Assets	3,265.0	3,312.0	3,426.2	3,563.3	3,726.0	3,918.2	4,120.2
Total Long Term Assets	20,519.0	20,414.0	20,479.7	20,593.5	20,735.1	20,941.6	21,143.7
Total Assets	78,725.0	80,173.0	81,588.7	83,660.2	86,160.6	89,061.5	92,970.2

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Balance Sheet

(\$ Millions)

Liabilities and Equity

Accounts Payable	227.0	240.0	252.2	266.9	281.9	299.4	317.1
Funds Payable to Customers	39,671.0	40,198.0	41,583.9	43,248.0	45,222.8	47,555.3	50,007.6
Accrued Expenses and Other Current Liabilities	4,401.0	4,609.0	4,859.6	5,142.9	5,430.3	5,768.1	6,110.2
Current Portion of Term Debt	1,191.0	1,396.0					
Total Current Liabilities	45,490.0	46,443.0	46,695.7	48,657.8	50,935.0	53,622.8	56,434.9
Other Long-Term Liabilities	2,939.0	3,487.0	3,696.2	3,918.0	4,153.1	4,402.3	4,666.4
Long-Term Debt	9,879.0	9,987.0	9,986.0	8,911.0	7,774.0	6,274.0	5,274.0
Total Long Term Liabilities	12,818.0	13,474.0	13,682.2	12,829.0	11,927.1	10,676.3	9,940.4
Total Liabilities	58,308.0	59,917.0	60,378.0	61,486.8	62,862.1	64,299.1	66,375.3
Treasury Stock	(27,085.0)	(33,138.0)	(38,138.0)	(43,138.0)	(48,138.0)	(53,138.0)	(58,138.0)
Additional Paid-In-Capital	20,705.0	21,582.0	22,748.7	23,962.2	25,231.0	26,565.3	27,968.3
Retained Earnings	27,347.0	32,470.0	37,258.0	42,007.3	46,863.5	51,993.2	57,422.6
Accumulated Other Comprehensive Income (Loss)	(550.0)	(658.0)	(658.0)	(658.0)	(658.0)	(658.0)	(658.0)
Shareholder's Equity	20,417.0	20,256.0	21,210.8	22,173.5	23,298.5	24,762.4	26,594.9
Total Liabilities and Equity	78,725.0	80,173.0	81,588.7	83,660.2	86,160.6	89,061.5	92,970.2
Check	0.000	0.000	0.000	0.000	0.000	0.000	0.000

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Cash Flow Statement

(\$ Millions)

	<i>Projected</i>				
	2026	2027	2028	2029	2030
Operating Activities					
Net Income	5,255.4	5,168.7	5,227.8	5,453.4	5,705.3
Depreciation & Amortization	872.1	879.9	916.7	927.6	990.3
Stock Based Compensation	1,166.7	1,213.4	1,268.8	1,334.3	1,403.1
Adjustments to Loans and Interest Receivable, Held for Sale	(59.5)	(71.5)	(84.8)	(100.2)	(105.3)
Accounts Receivable	(24.9)	(34.6)	(38.5)	(51.1)	(51.0)
Other Current Assest and Non-Current Assets	(215.3)	(249.5)	(276.8)	(326.2)	(337.8)
Accounts Payable	12.2	14.7	14.9	17.5	17.8
Other Current Liabilities and Non-Current Liabilities	459.8	505.0	522.6	587.0	606.2
Operating Cash Flow	7,466.4	7,426.2	7,550.7	7,842.3	8,228.5
Investing Activities					
Purchases of Property and Equipment	(823.6)	(856.5)	(895.6)	(941.8)	(990.4)
Net Loan & Investment Forecast	(1,549.6)	(1,860.5)	(2,208.0)	(2,607.9)	(2,741.8)
Investing Cash Flow	(2,373.1)	(2,717.1)	(3,103.6)	(3,549.7)	(3,732.2)
Financing Activities					
Purchases of treasury stock	(5,000.0)	(5,000.0)	(5,000.0)	(5,000.0)	(5,000.0)
Repayments under financing arrangements	(1,397.0)	(1,075.0)	(1,137.0)	(1,500.0)	(1,000.0)
Common Dividends	(467.3)	(419.5)	(371.6)	(323.7)	(275.8)
Net Float & Financing , Forecast	1,385.9	1,664.1	1,974.8	2,332.5	2,452.2
Financing Cash Flow	(5,478.4)	(4,830.4)	(4,533.7)	(4,491.2)	(3,823.6)
Change in the Cash Position	(385.1)	(121.2)	(86.7)	(198.6)	672.8
Beginning Cash	10,422.0	10,036.9	9,915.7	9,829.0	9,630.3
Ending Cash	10,036.9	9,915.7	9,829.0	9,630.3	10,303.1

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Working Capital Schedule

(\$ Millions)

	2023A	2024A	2025A	2026	2027	Projected 2028	2029	2030
Days per Year		366	365	365	365	366	365	365
Income Statement Items								
Net Revenue		31,797.0	33,172.0	34,315.7	35,688.9	37,318.6	39,243.4	41,267.0
Cost of Sales		18,907.0	19,411.0	20,458.5	21,651.0	22,924.0	24,283.4	25,723.5
Days In								
Accounts Receivable (days)		11.3	9.2	9.2	9.2	9.2	9.2	9.2
Prepaid Expenses (days)		32.2	34.4	34.4	34.4	34.4	34.4	34.4
Accounts Payable (days)		4.4	4.5	4.5	4.5	4.5	4.5	4.5
Other Liabilities (days)		85.2	86.7	86.7	86.7	86.7	86.7	86.7
Account Balances								
Accounts Receivable		984.0	840.0	864.9	899.6	938.1	989.1	1,040.2
Prepaid Expenses		1,664.0	1,827.0	1,928.1	2,040.5	2,154.6	2,288.6	2,424.4
Accounts Payable		227.0	240.0	252.2	266.9	281.9	299.4	317.1
Accrued Expenses and Other Current Liabilities		4,401.0	4,609.0	4,859.6	5,142.9	5,430.3	5,768.1	6,110.2
Net Working Capital		(1,980.0)	(2,182.0)	(2,318.7)	(2,469.7)	(2,619.5)	(2,789.7)	(2,962.8)
Change in Working Capital			202.0	136.7	151.0	149.8	170.2	173.1
Custodial Float								
Funds Receivable and Customer Accounts		37,671.0	38,198.0	39,515.0	41,096.2	42,972.8	45,189.3	47,519.5
Funds Payable to Customers		(39,671.0)	(40,198.0)	(41,583.9)	(43,248.0)	(45,222.8)	(47,555.3)	(50,007.6)
Net Float		(2,000.0)	(2,000.0)	(2,069.0)	(2,151.7)	(2,250.0)	(2,366.1)	(2,488.1)

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Intangible Assets

(\$ Millions)

	2024A	2025A	<i>Projected</i>				
			2026	2027	2028	2029	2030
Beginning of Period	533.0	326	208	110	48	0	0
Less: Amortization	(207.0)	(175.0)	(98.0)	(62.0)	(48.0)		
Other/Non-Cash	0.0	57.0	0.0	0.0	0.0	0.0	0.0
End of Period	326	208	110	48	0	0	0

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Property, Plant, & Equipment

(\$ Millions)

		Projected							
		2024A	2025A	2026	2027	2028	2029	2030	
Beginning of Period			1,508.0	1,700.0	1,749.5	1,788.2	1,815.1	1,829.4	
Plus: Capital Expenditure		683.0	852.0	823.6	856.5	895.6	941.8	990.4	
Less: Depreciation		(825.0)	(788.0)	(774.1)	(817.9)	(868.7)	(927.6)	(990.3)	
Non-Cash Additions/ Other			128.0						
End of Period		1,508.0	1,700.0	1,749.5	1,788.2	1,815.1	1,829.4	1,829.5	
PP&E related D&A as % of capex		Step 1.5%	120.8%	92.5%	94.0%	95.5%	97.0%	98.5%	100.0%
Total D&A		(1,032.0)	(963.0)	(872.1)	(879.9)	(916.7)	(927.6)	(990.3)	

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Debt and Interest Schedule

(\$ Millions)

		<i>Projected</i>				
	2025A	2026	2027	2028	2029	2030
Financing Component						
Cash						
Amount Outstanding - Beginning		10,422.0	10,036.9	9,915.7	9,829.0	9,630.3
Change in Cash		(385.1)	(121.2)	(86.7)	(198.6)	672.8
Amount Outstanding - Ending	10,422.0	10,036.9	9,915.7	9,829.0	9,630.3	10,303.1
Interest Rate		3.00%	3.00%	3.00%	3.00%	3.00%
Annual Interest Income		312.7	301.1	297.5	294.9	288.9
Revolver						
Operating Cash Flow		7,466.4	7,426.2	7,550.7	7,842.3	8,228.5
Investing Cash Flow		(2,373.1)	(2,717.1)	(3,103.6)	(3,549.7)	(3,732.2)
Mandatory Debt Repayments		(1,397.0)	(1,075.0)	(1,137.0)	(1,500.0)	(1,000.0)
Common Stock Issuance / (Buy-back)		0.0	0.0	0.0	0.0	0.0
Dividends			0.0	0.0	0.0	0.0
FCF After Mandatory Debt Repayment and Dividend		3,696.3	3,634.2	3,310.0	2,792.6	3,496.4
Revolver Outstanding - Beginning		0.0	0.0	0.0	0.0	0.0
Additions / (Repayments)		0.0	0.0	0.0	0.0	0.0
Revolver Outstanding - Ending	0.0	0.0	0.0	0.0	0.0	0.0
Interest Rate		4.50%	4.50%	4.50%	4.50%	4.50%
Annual Interest Expense		0.0	0.0	0.0	0.0	0.0
Term Debt						
Amount Outstanding - Beginning		11,383.0	9,986.0	8,911.0	7,774.0	6,274.0
Additions / (Repayments)		(1,397.0)	(1,075.0)	(1,137.0)	(1,500.0)	(1,000.0)
Amount Outstanding - Ending	11,383.0	9,986.0	8,911.0	7,774.0	6,274.0	5,274.0
Interest Rate		3.90%	3.90%	3.90%	3.90%	3.90%
Annual Interest Expense		443.9	389.5	347.5	303.2	244.7
Net Interest Expense		(131.3)	(88.3)	(50.1)	(8.3)	44.2

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Income Tax Schedule

(\$ Millions)

		<i>Projected</i>				
		2026	2027	2028	2029	2030
Tax Rate	21.0%					
Accounting EBT (as is on I/S)	A	6,348.2	6,340.8	6,483.4	6,814.0	7,162.8
Less: Reduction in EBT for timing differences		1,144.4	759.7	504.4	334.9	222.3
Government EBT	B	5,203.8	5,581.0	5,979.0	6,479.1	6,940.5
Accounting Taxes (21% of A)		1,333.1	1,331.6	1,361.5	1,430.9	1,504.2
Taxes as Appearing on Income Statement						
Current Tax (21% of B)		1,092.8	1,172.0	1,255.6	1,360.6	1,457.5
Increase (Decrease) in Deferred Income Taxes		240.3	159.5	105.9	70.3	46.7
Total Income Taxes (Same as Accounting Taxes Above)		1,333.1	1,331.6	1,361.5	1,430.9	1,504.2

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Discounted Cash Flow Analysis

(\$ Millions)

Most recent fiscal year end	12/31/2025	Discount rate (WACC)	9.6%
End of first fiscal year	12/31/2026	Share price	\$45.47
Most recent quarter end date		Share price date	7/5/2026
Valuation date	7/1/2026	Midyear adjustment?	0
Portion of First Year Cash Flows	50.0%		

Unlevered Free Cash Flows

	<i>Projected</i>					
	2025A	2026	2027	2028	2029	2030
Fiscal year						
Year Ended	12/31/2025	12/31/2026	12/31/2027	12/31/2028	12/31/2029	12/31/2030
Revenue	33,172.0	34,315.7	35,688.9	37,318.6	39,243.4	41,267.0
% growth		3.4%	4.0%	4.6%	5.2%	5.2%
EBITDA	7,028.0	7,146.8	7,104.3	7,245.4	7,545.2	7,904.2
% margin	21.2%	20.8%	19.9%	19.4%	19.2%	19.2%
EBIT	6,065.0	6,274.8	6,224.4	6,328.7	6,617.6	6,913.9
% margin	18.3%	18.3%	17.4%	17.0%	16.9%	16.8%
Tax on EBIT	1,273.7	1,317.7	1,307.1	1,329.0	1,389.7	1,451.9
Tax rate	21.0%	21.0%	21.0%	21.0%	21.0%	21.0%
NOPAT (aka EBIAT)	4,791.4	4,957.1	4,917.3	4,999.7	5,227.9	5,462.0
Depreciation & amortization		872.1	879.9	916.7	927.6	990.3
Changes in net working capital		(1,482.4)	(117.0)	(168.1)	(205.3)	(221.7)
Capital expenditures		823.6	856.5	895.6	941.8	990.4
as % of revenue		2.4%	2.4%	2.4%	2.4%	2.4%
Unlevered free cash flows (UFCF)		3,523.1	4,823.7	4,852.6	5,008.4	5,240.1
Net working capital (WC Assets - WC liabilities)		4,376.4	4,493.4	4,661.5	4,866.8	5,088.5
as % of revenue		12.8%	12.6%	12.5%	12.4%	12.3%

Weighted Average Cost of Capital

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Discounted Cash Flow Analysis

(\$ Millions)

Risk free rate (R_f)	4.4%
Equity Beta	1.34
Equity risk premium ($R_m - R_f$)	5.0%
Cost of Equity (K_e)	11.1%

Cost of debt	5.0%
Tax rate	21.0%
After-tax Cost of Debt (K_{dt})	4.0%

Percentage of Capital

Debt	11,383.0	20.8%
Equity	43,306.6	79.2%
Total capital	54,689.6	100.0%

Weighted Average Cost of Capital	9.6%
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Present value of UFCF on Jul 01, 2026 valuation date

		Val date	Yr 1 - Stub	Year 2	Year 3	Year 4	Year 5
Date for discounting cash flows		7/1/2026	12/31/2026	12/31/2027	12/31/2028	12/31/2029	12/31/2030
Unlevered free cash flows (UFCF) stub adjusted	50.00%		1,761.6	4,823.7	4,852.6	5,008.4	5,240.1
Present value of of unlevered free cash flows			1,682.5	4,204.2	3,858.4	3,633.8	3,469.3

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Discounted Cash Flow Analysis

(\$ Millions)

Terminal value - growth in perpetuity approach

Long term growth rate	0.50%
2030 FCF x (1+g)	5,266.3
Terminal value in 2030	57,947.9
Present value of terminal value	38,365.4
Present value of stage 1 cash flows	16,848.2
Total enterprise value (TEV)	55,213.6

<i>Terminal value as % of TEV</i>	69.49%
<i>Stage 1 cash flows as % of TEV</i>	30.51%
<i>Implied TV exit EBITDA multiple</i>	7.3x

Net debt

Source doc	PayPal 10-K 2026
Source date	7/1/2026

Gross debt and equivalents

Debt	11,383.0
Convertible debt	0.0
Preferred stock	0.0
Noncontrolling (minority) interests	0.0

Nonoperating assets

Cash	10,422.0
Long-Term Investments	4,330.0

Net debt	(3,369.0)
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Net diluted shares outstanding	952.421
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Terminal value - EBITDA multiple approach

Terminal year EBITDA	7,904.2
EBITDA multiple	7.0x
Terminal value in 2030	55,329.2
Present value of terminal value	36,631.7
Present value of stage 1 cash flows	16,848.2
Enterprise value (stage 1 + 2)	53,479.9

<i>Terminal value as % of TEV</i>	68.50%
<i>Cash flows as % of TEV</i>	31.50%
<i>Implied long term growth rate</i>	0.11%

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Discounted Cash Flow Analysis

(\$ Millions)

Valuation

	<u>Perpetuity</u>	<u>EBITDA</u>
Enterprise value	55,213.6	53,479.9
Net debt	(3,369.0)	(3,369.0)
Equity value	58,582.6	56,848.9
Shares outstanding	952.4	952.4
Equity value per share	\$61.51	\$59.69

Last Twelve Months (LTM)

	<u>Perpetuity</u>	<u>EBITDA</u>
EV / Revenue	1.7x	1.6x
EV / EBITDA	7.9x	7.6x
EV / EBIT	9.1x	8.8x

Year 1

	<u>Perpetuity</u>	<u>EBITDA</u>
EV / Revenue	1.6x	1.6x
EV / EBITDA	7.7x	7.5x
EV / EBIT	8.8x	8.5x

Sensitivity Analysis

		<u>Equity Value Per Share</u>				
		<u>Long Term Growth Rate</u>				
WACC	\$61.51	-0.5%	0.0%	0.5%	1.0%	1.5%
	10.6%	\$52.18	\$53.83	\$55.64	\$57.64	\$59.85
	10.1%	\$54.55	\$56.39	\$58.42	\$60.67	\$63.19
	9.6%	\$57.16	\$59.22	\$61.51	\$64.07	\$66.94
	9.1%	\$60.03	\$62.36	\$64.96	\$67.88	\$71.19
	8.6%	\$63.23	\$65.87	\$68.84	\$72.20	\$76.03

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Discounted Cash Flow Analysis

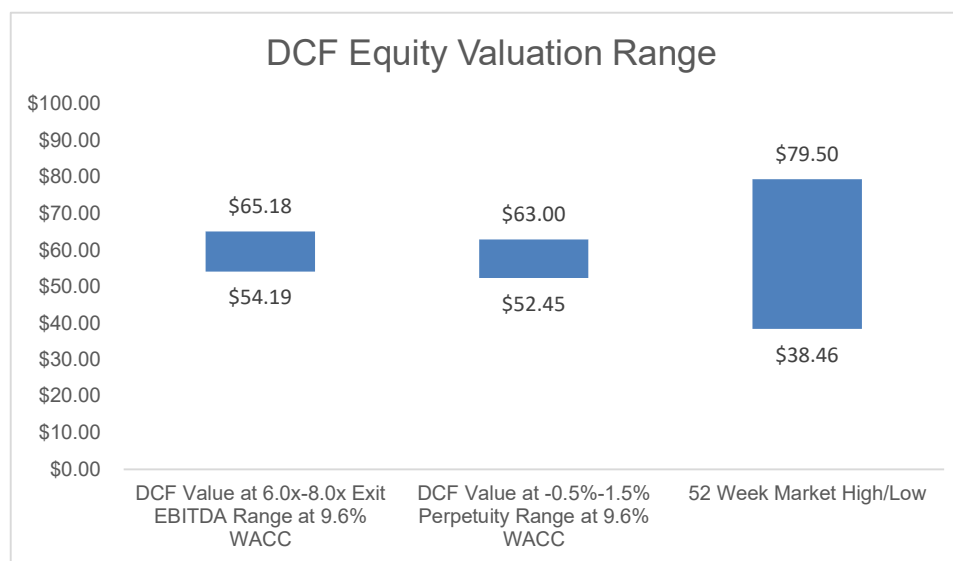
(\$ Millions)

		Equity Value Per Share					
		Exit EBITDA Multiple					
		\$59.69	6.0x	6.5x	7.0x	7.5x	8.0x
WACC	10.6%	\$52.45	\$55.09	\$57.72	\$60.36	\$63.00	
	10.1%	\$53.31	\$56.00	\$58.69	\$61.39	\$64.08	
	9.6%	\$54.19	\$56.94	\$59.69	\$62.44	\$65.18	
	9.1%	\$55.10	\$57.90	\$60.71	\$63.51	\$66.32	
	8.6%	\$56.03	\$58.89	\$61.75	\$64.61	\$67.48	
		Year 1 EBITDA Multiple					
		Long Term Growth Rate					
		7.7x	-0.5%	0.0%	0.5%	1.0%	1.5%
WACC	10.6%	6.5x	6.7x	6.9x	7.2x	7.5x	
	10.1%	6.8x	7.0x	7.3x	7.6x	7.9x	
	9.6%	7.1x	7.4x	7.7x	8.1x	8.4x	
	9.1%	7.5x	7.8x	8.2x	8.6x	9.0x	
	8.6%	8.0x	8.3x	8.7x	9.2x	9.7x	
		Year 1 EBITDA Multiple					
		Exit EBITDA Multiple					
		7.5x	6.0x	6.5x	7.0x	7.5x	8.0x
WACC	10.6%	6.5x	6.9x	7.2x	7.6x	7.9x	
	10.1%	6.6x	7.0x	7.4x	7.7x	8.1x	
	9.6%	6.8x	7.1x	7.5x	7.8x	8.2x	
	9.1%	6.9x	7.2x	7.6x	8.0x	8.4x	
	8.6%	7.0x	7.4x	7.8x	8.1x	8.5x	

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Discounted Cash Flow Analysis

(\$ Millions)



	Low	Diff.	High
DCF Value at 6.0x-8.0x Exit EBITDA Range at 9.6% WACC	\$54.19	\$10.99	\$65.18
DCF Value at -0.5%-1.5% Perpetuity Range at 9.6% WACC	\$52.45	\$10.55	\$63.00
52 Week Market High/Low	\$38.46	\$41.04	\$79.50

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Comps Analysis

(\$ Millions)

Enterprise Value	
<i>Amounts in millions as of July 5, 2026</i>	
Share price	\$45.47
Diluted Shares	952.421
Equity Value	43,306.6
Total Debt	11,383.0
Cash	14,752.0
Enterprise Value	39,937.6

Enterprise Value Multiples					
	2024A	2025A	LTM	2026	2027
Revenue	31,797.0	33,172.0	33,734.0	34,315.7	35,688.9
EBITDA	6,357.0	7,028.0	6,752.0	7,146.8	7,104.3
EV / Revenue	1.3x	1.2x	1.2x	1.2x	1.1x
EV / EBITDA	6.3x	5.7x	5.9x	5.6x	5.6x
LTM = FY2025					

Company	Market Value	Enterprise Value	Enterprise Value / Revenue			Enterprise Value / EBITDA		
			2024A	2025A	LTM	2024A	2025A	LTM
Block	32,668.7	34,408.6	1.4x	1.4x	1.4x	25.6x	16.6x	21.8x
Revenue			24,121.1	24,193.7	24,478.7			
EBITDA						1,345.6	2,070.5	1,575.8
Adyen	28,461.3	16,159.7	8.0x	6.8x	6.8x	16.9x	13.5x	13.5x
Revenue			2,014.9	2,376.4	2,376.4			
EBITDA						954.7	1,197.0	1,197.0
Fiserv	33,664.1	61,880.1	3.0x	2.9x	2.9x	6.9x	7.0x	7.4x
Revenue			20,456.0	21,193.0	21,090.0			
EBITDA						8,974.0	8,859.0	8,370.0
Global Payments	25,898.1	37,111.2	4.8x	4.8x	4.2x	11.0x	10.8x	9.5x
Revenue			7,736.0	7,705.9	8,855.2			

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Comps Analysis

(\$ Millions)								
EBITDA						3,382.6	3,439.1	3,920.2
Fidelity National Information Services	24,748.0	37,483.0	3.7x	3.5x	3.3x	12.0x	11.9x	11.3x
Revenue			10,127.0	10,677.0	11,440.0			
EBITDA						3,131.0	3,139.0	3,308.0
Shift4	3,082.1	8,222.1	2.5x	2.0x	1.8x	15.1x	10.5x	9.7x
Revenue			3,331.0	4,180.0	4,453.0			
EBITDA						543.0	784.0	851.0

Source: Koyfin

High	8.0x	6.8x	6.8x	25.6x	16.6x	21.8x
Mean	3.9x	3.6x	3.4x	14.6x	11.7x	12.2x
75th Percentile	4.5x	4.5x	4.0x	16.5x	13.1x	13.0x
Median	3.4x	3.2x	3.1x	13.6x	11.4x	10.5x
25th Percentile	2.6x	2.2x	2.1x	11.2x	10.6x	9.5x
Low	1.4x	1.4x	1.4x	6.9x	7.0x	7.4x

PayPal Implied Valuation	Enterprise Value	Enterprise Value / Revenue			Enterprise Value / EBITDA		
		2024A	2025A	LTM	2024A	2025A	LTM
Enterprise Value (75th Percentile)	39,937.6	143,825.1	148,929.6	133,663.9	104,765.6	92,139.8	87,491.6
Net Debt (From DCF)		(3,369.0)	(3,369.0)	(3,369.0)	(3,369.0)	(3,369.0)	(3,369.0)
Equity Value		147,194.1	152,298.6	137,032.9	108,134.6	95,508.8	90,860.6
Diluted Shares Outstanding		952.421	952.421	952.421	952.421	952.421	952.421
Implied Equity Value/ Share		\$154.55	\$159.91	\$143.88	\$113.54	\$100.28	\$95.40
Enterprise Value (25th Percentile)	39,937.6	82,911.5	73,151.4	71,460.0	71,333.8	74,238.7	64,248.1
Net Debt (From DCF)		(3,369.0)	(3,369.0)	(3,369.0)	(3,369.0)	(3,369.0)	(3,369.0)
Equity Value		86,280.5	76,520.4	74,829.0	74,702.8	77,607.7	67,617.1
Diluted Shares Outstanding		952.421	952.421	952.421	952.421	952.421	952.421
Implied Equity Value/ Share		\$90.59	\$80.34	\$78.57	\$78.43	\$81.48	\$70.99

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Precedent Transactions

(\$ Millions)

General Transaction Information

	Comp 1	Comp 2	Comp 3	Comp 4	Comp 5	Comp 6
Target	Worldpay	Global Blue	Nuvei	EVO Payments	First Data	Honey
Acquirer	Global Payments	Shift4	Advent International	Global Payments	Fiserv	PayPal
Announcement date	04-17-25	02-16-25	04-01-24	08-01-22	01-16-19	11-20-19
Deal status	Completed	Completed	Completed	Completed	Completed	Completed
Target currency	USD	EUR	USD	USD	USD	USD
to target exchange rate at announcement date	\$1.00	\$1.04	\$1.00	\$1.00	\$1.00	\$1.00
Buyer type	Strategic	Strategic	Financial Sponsor	Strategic	Strategic	Strategic

Transaction Terms

Form of consideration	Cash	Cash	Cash	Cash	Stock	Cash
Offer price per share	N/A	\$7.50	\$34.00	\$34.00	\$22.74	N/A
% of target acquired	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%
Announced synergies (mm's)	600.0	ND	N/A	ND	900.0	N/A
Comments	Priced on EV basis (no public shares/net debt); buyer synergies embedded in multiple.	EUR financials; USD listed shares & \$7.50 offer; EV \$2,500M	Financial-sponsor take-private (Advent) deal, EV 6.3B	Strategic merchant-acquiring consolidation; all-cash \$34.00/share, EV 4B	All-stock (0.303 Fiserv sh per FDC sh), tax-free to FDC holders; disclosed equity value ~\$22B.	Strategic tuck-in; private target, no per-share offer or synergy target disclosed; ~\$4B mostly cash.

Premiums Paid

Unaffected target share price - 1 day prior		\$6.54	\$31.62	\$27.34	\$17.55	
Unaffected target share price - 1 week prior		\$6.63	\$28.90	\$26.22	\$17.75	
Unaffected target share price - 1 month prior		\$7.65	\$26.07	\$23.80	\$16.42	
Premium paid - 1 day prior	NM	14.7%	7.5%	24.4%	29.6%	NM
Premium paid - 1 week prior	NM	13.1%	17.6%	29.7%	28.1%	NM
Premium paid - 1 month prior	NM	-2.0%	30.4%	42.9%	38.5%	NM

Calculation of Offer & Transaction Value

Diluted Shares Outstanding	ND	199.636	139.2	91.508	957.0	ND
Offer value (purchase price)	NM	1,497.3	4,734.4	3,111.3	21,762.2	NM
Override	24,250.0	1,993.0	5,210.0	3,500.0	22,000.0	4,000.0
Total offer value (purchase price)	24,250.0	1,993.0	5,210.0	3,500.0	22,000.0	4,000.0

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Precedent Transactions

(\$ Millions)

Net Debt

Period ending	03-31-25	12-31-23	06-30-22	06-30-19	
ST debt (incl. current portion of LT debt)	0.8	12.0	14.0	1,150.0	
LT debt	532.0	1,248.0	623.0	15,811.0	
Noncontrolling interests	14.8	17.0		2,768.0	
Preferred stock			174.0		
Gross debt	0.0	547.5	1,277.0	811.0	19,729.0
Less: Cash & Cash equivalents	1,550.0	123.8	170.0	356.0	544.0
Net debt	(1,550.0)	423.8	1,107.0	455.0	19,185.0

Transaction Value	22,700.0	2,416.8	6,317.0	3,955.0	41,185.0	4,000.0
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LTM Financial Metrics

Revenue	ND	528.2	1,189.0	543.0	9,569.0	100.0
Gross Profit	ND	ND	967.0	453.7	5,775.0	ND
EBITDA	2,670.6	196.6	437.3	203.0	3,004.0	ND
EBIT	ND	140.1	14.947	66	1,576.0	ND
Net Income	ND	97.3	(0.7)	20	1,007.0	ND

Transaction Multiples

EV/ Revenue	ND	4.6x	5.3x	7.3x	4.3x	40.0x
EV/ Gross Profit	ND	ND	6.5x	8.7x	7.1x	ND
EV / EBITDA	8.5x	12.3x	14.4x	19.5x	13.7x	ND
EV / EBIT	ND	17.3x	422.6x	59.9x	26.1x	ND

Additional Metrics

EBITDA margin	ND	37.2%	36.8%	37.4%	31.4%	NM
Revenue growth (YoY)	ND	20.2%	41.1%	9.3%	6.7%	100.0%

Summary Statistics

	EV/ Revenue	EV / Gross Profit	EV / EBITDA	EV / EBIT	EBITDA Margin	Revenue Growth
High	7.3x	8.7x	19.5x	26.1x	37.4%	100.0%
Mean	5.4x	7.5x	13.7x	21.7x	35.7%	35.5%
75th Percentile	5.8x	7.9x	14.4x	23.9x	37.3%	41.1%
Median	4.9x	7.1x	13.7x	21.7x	37.0%	20.2%
25th Percentile	4.5x	6.8x	12.3x	19.5x	35.4%	9.3%
Low	4.3x	6.5x	8.5x	17.3x	31.4%	6.7%

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Precedent Transactions

(\$ Millions)

Implied Valuation

	25th Percentile	75th Percentile
LTM EV/EBITDA	12.3x	14.4x
LTM EBITDA	6,752.0	6,752.0
Implied EV	82,982.5	97,535.8
Net Debt (From DCF)	(3,369.0)	(3,369.0)
Equity Value	86,351.5	100,904.8
Diluted Shares	952.421	952.421
Equity value/ share	\$90.67	\$105.95

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Leveraged Buyout Model

(\$ Millions)

Transaction Assumptions	
Latest Share Price Date	7/5/2026
Latest Share Price	\$45.47
EBITDA (LTM)	6,752.0
Gross Debt (input as a -)	(11,383.0)
Cash	10,422.0
Minimum cash desired	1,000.0
EV / LTM EBITDA multiple at exit	7.0x

Initial Valuation

Valuation Approach	Approach 1 EBITDA Multiple	Approach 1 EBITDA Multiple	Approach 2 Offer/Share Price
LTM EBITDA	6,752.0	6,752.0	6,752.0
EV / LTM EBITDA	7.0x	7.0x	7.1x
Enterprise value	47,264.0	47,264.0	47,629.6
Less: Gross Debt (latest filing)	(11,383.0)	(11,383.0)	(11,383.0)
Plus: Cash (latest filing)	10,422.0	10,422.0	10,422.0
Offer value	46,303.0	46,303.0	46,668.6
Diluted shares outstanding	952.421	952.421	952.421
Offer value / per share	\$48.62	\$48.62	\$49.00
% Premium / discount	6.9%	6.9%	7.8%

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Leveraged Buyout Model

(\$ Millions)

Uses of Funds

Buyout of equity	46,303.0
Refinancing of oldco debt	11,383.0
Fees (transaction & financing)	1,364.9
Total Uses	59,050.9

Sources of Funds

	EBITDA turns	\$ investment
Excess cash	1.4x	9,422.0
Revolver	0.0x	0.0
Term Loan A	2.0x	13,504.0
Term Loan B	1.5x	10,128.0
Senior Secured	0.5x	3,376.0
Senior Unsecured	0.5x	3,376.0
Sponsor equity	2.9x	19,244.9
Total Sources	8.7x	59,050.9

FEES

	% fees	Fee	Term	Fee amort / year
<i>Financing fees</i>				
Revolver	1.0%	0.0	5 yrs	0.0
Term Loan A	1.5%	202.6	7 yrs	28.9
Term Loan B	1.5%	151.9	7 yrs	21.7
Senior Secured	1.5%	50.6	7 yrs	7.2
Senior Unsecured	1.0%	33.8	7 yrs	4.8
Financing fees		438.9		62.7
	% of offer value	Fee		
Trans. fees	2.0%	926.1		

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Pro Forma Income Statement

(\$ Millions)

	2023A	2024A	2025A	<i>Projected</i>				
				2026	2027	2028	2029	2030
Net Revenue	29,771.0	31,797.0	33,172.0	34,315.7	35,688.9	37,318.6	39,243.4	41,267.0
Transaction Expense	(14,385.0)	(15,697.0)	(15,987.0)	(16,886.9)	(17,900.1)	(18,974.1)	(20,112.5)	(21,319.3)
Transaction and Credit Losses	(1,682.0)	(1,442.0)	(1,720.0)	(1,821.5)	(1,930.8)	(2,046.6)	(2,169.4)	(2,299.6)
Customer Support and Operations	(1,919.0)	(1,768.0)	(1,704.0)	(1,750.1)	(1,820.1)	(1,903.2)	(2,001.4)	(2,104.6)
Gross Profit	11,785.0	12,890.0	13,761.0	13,857.2	14,037.9	14,394.6	14,960.0	15,543.5
Sales and Marketing	(1,809.0)	(2,001.0)	(2,283.0)	(2,367.8)	(2,462.5)	(2,575.0)	(2,707.8)	(2,847.4)
Technology and Development	(2,973.0)	(2,979.0)	(3,103.0)	(3,196.1)	(3,292.0)	(3,390.7)	(3,492.5)	(3,597.2)
General and Administrative	(2,059.0)	(2,147.0)	(1,979.0)	(2,018.6)	(2,059.0)	(2,100.1)	(2,142.1)	(2,185.0)
Restructuring and Other	84.0	(438.0)	(331.0)	0.0	0.0	0.0	0.0	0.0
EBIT	5,028.0	5,328.0	6,065.0	6,274.8	6,224.4	6,328.7	6,617.6	6,913.9
Interest Expense				(535.3)	(535.3)	(535.3)	(535.3)	(535.3)
Other Income (expense), net	383.0	4.0	227.0	204.7	204.7	204.7	204.7	204.7
EBT	5,411.0	5,329.0	6,292.0	5,944.1	5,893.8	5,998.1	6,287.0	6,583.2
Income Tax Expense	(1,165.0)	(1,182.0)	(1,059.0)	(1,007.9)	(1,078.1)	(1,153.7)	(1,249.9)	(1,335.8)
Net Income	4,246.0	4,147.0	5,233.0	4,936.2	4,815.6	4,844.4	5,037.0	5,247.4
Depreciation & Amortization	(1,072.0)	(1,032.0)	(963.0)	(872.1)	(879.9)	(916.7)	(927.6)	(990.3)
EBITDA	6,100.0	6,357.0	7,028.0	7,146.8	7,104.3	7,245.4	7,545.2	7,904.2

Growth Rates & Margins

Revenue Growth Rate		6.8%	4.3%	3.4%	4.0%	4.6%	5.2%	5.2%
Transaction Expenses	48.3%	49.4%	48.2%	49.2%	50.2%	50.8%	51.3%	51.7%
Transaction & Credit Losses	5.6%	4.5%	5.2%	5.3%	5.4%	5.5%	5.5%	5.6%
Customer Support & Operations		-7.9%	-3.6%	2.7%	4.0%	4.6%	5.2%	5.2%
Sales & Marketing		10.6%	14.1%	3.7%	4.0%	4.6%	5.2%	5.2%
Technology & Development Growth		0.2%	4.2%	3.0%	3.0%	3.0%	3.0%	3.0%
General & Administrative		4.3%	-7.8%	2.0%	2.0%	2.0%	2.0%	2.0%
Stock-based compensation								
Gross Profit Margin	39.6%	40.5%	41.5%	40.4%	39.3%	38.6%	38.1%	37.7%
EBITDA Margin	20.5%	20.0%	21.2%	20.8%	19.9%	19.4%	19.2%	19.2%
EBIT Margin	16.9%	16.7%	18.3%	18.3%	17.4%	17.0%	16.9%	16.8%
Return on Equity				23.3%	21.7%	20.8%	20.3%	19.7%

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Pro Forma Balance Sheet

(\$ Millions)

	2024A	2025A	<i>Projected</i>				
			2026	2027	2028	2029	2030
Assets							
Cash & Equivalents	10,924.0	10,422.0	1,000.0	1,000.0	1,000.0	1,000.0	1,000.0
Accounts Receivable, Net	984.0	840.0	864.9	899.6	938.1	989.1	1,040.2
Inventory and Interest Receivable, Held for Sale	541.0	1,726.0	1,785.5	1,857.0	1,941.8	2,041.9	2,147.2
Loans and Interest Receivable, Net of Allowances	6,422.0	6,746.0	6,978.6	7,257.8	7,589.3	7,980.7	8,392.2
Funds Receivable and Customer Accounts	37,671.0	38,198.0	39,515.0	41,096.2	42,972.8	45,189.3	47,519.5
Prepaid Expenses and Other Current Assets	1,664.0	1,827.0	1,928.1	2,040.5	2,154.6	2,288.6	2,424.4
Total Current Assets	58,206.0	59,759.0	52,072.1	54,151.1	56,596.5	59,489.7	62,523.4
Long-Term Investments	4,583.0	4,330.0	4,330.0	4,330.0	4,330.0	4,330.0	4,330.0
Property and Equipment, Net	1,508.0	1,700.0	1,749.5	1,788.2	1,815.1	1,829.4	1,829.5
Goodwill	10,837.0	10,864.0	36,911.0	36,911.0	36,911.0	36,911.0	36,911.0
Intangible Assets, Net	326.0	208.0	110.0	48.0	0.0	0.0	0.0
Capitalized Financing Fees, Net			376.2	313.5	250.8	188.1	125.4
Other Assets	3,265.0	3,312.0	3,426.2	3,563.3	3,726.0	3,918.2	4,120.2
Total Long Term Assets	20,519.0	20,414.0	46,902.9	46,953.9	47,032.9	47,176.6	47,316.1
Total Assets	78,725.0	80,173.0	98,975.0	101,105.1	103,629.4	106,666.3	109,839.6

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Pro Forma Balance Sheet

(\$ Millions)

Liabilities and Equity

Accounts Payable	227.0	240.0	252.2	266.9	281.9	299.4	317.1
Funds Payable to Customers	39,671.0	40,198.0	41,583.9	43,248.0	45,222.8	47,555.3	50,007.6
Accrued Expenses and Other Current Liabilities	4,401.0	4,609.0	4,859.6	5,142.9	5,430.3	5,768.1	6,110.2
Current Portion of Term Debt	1,191.0	1,396.0					
Total Current Liabilities	45,490.0	46,443.0	46,695.7	48,657.8	50,935.0	53,622.8	56,434.9
Other Long-Term Liabilities	2,939.0	3,487.0	3,696.2	3,918.0	4,153.1	4,402.3	4,666.4
Long-Term Debt	9,879.0	9,987.0	25,328.0	22,348.6	18,127.4	13,587.4	8,614.3
Total Long Term Liabilities	12,818.0	13,474.0	29,024.2	26,266.6	22,280.5	17,989.6	13,280.7
Total Liabilities	58,308.0	59,917.0	75,720.0	74,924.3	73,215.5	71,612.5	69,715.6
Treasury Stock	(27,085.0)	(33,138.0)	0.0	0.0	0.0	0.0	0.0
Additional Paid-In-Capital	20,705.0	21,582.0	0.0	0.0	0.0	0.0	0.0
Retained Earnings	27,347.0	32,470.0	4,010.1	8,825.7	13,670.1	18,707.1	23,954.6
Accumulated Other Comprehensive Income (Loss)	(550.0)	(658.0)	0.0	0.0	0.0	0.0	0.0
Common Equity			19,244.9	19,244.9	19,244.9	19,244.9	19,244.9
Shareholder's Equity	20,417.0	20,256.0	23,255.0	28,070.7	32,915.1	37,952.1	43,199.5
Total Liabilities and Equity	78,725.0	80,173.0	98,975.0	101,105.1	103,629.4	106,666.3	109,839.6
Check	0.000	0.000	0.000	0.000	0.000	0.000	0.000

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Pro Forma Cash Flow Statement

(\$ Millions)

	<i>Projected</i>				
	2026	2027	2028	2029	2030
Operating Activities					
Net Income	4,936.2	4,815.6	4,844.4	5,037.0	5,247.4
Depreciation & Amortization	934.8	942.6	979.4	990.3	1,053.0
Adjustments to Loans and Interest Receivable, Held for Sale	(59.5)	(71.5)	(84.8)	(100.2)	(105.3)
Accounts Receivable	(24.9)	(34.6)	(38.5)	(51.1)	(51.0)
Other Current Assest and Non-Current Assets	(215.3)	(249.5)	(276.8)	(326.2)	(337.8)
Accounts Payable	12.2	14.7	14.9	17.5	17.8
Other Current Liabilities and Non-Current Liabilities	459.8	505.0	522.6	587.0	606.2
Operating Cash Flow	6,043.2	5,922.4	5,961.2	6,154.4	6,430.3
Investing Activities					
Purchases of Property and Equipment	(823.6)	(856.5)	(895.6)	(941.8)	(990.4)
Net Loan & Investment Forecast	(1,549.6)	(1,860.5)	(2,208.0)	(2,607.9)	(2,741.8)
Investing Cash Flow	(2,373.1)	(2,717.1)	(3,103.6)	(3,549.7)	(3,732.2)
Financing Activities					
Purchases of treasury stock	0.0	0.0	0.0	0.0	0.0
Repayments under financing arrangements	(236.3)	(236.3)	(236.3)	(135.0)	(135.0)
Common Dividends	0.0	0.0	0.0	0.0	0.0
Net Float & Financing , Forecast	1,385.9	1,664.1	1,974.8	2,332.5	2,452.2
Financing Cash Flow	1,149.6	1,427.7	1,738.5	2,197.5	2,317.2
Change in the Cash Position (Pre- Cash Sweep)	4,819.7	3,800.1	3,984.8	4,405.0	4,838.1
Change in the Cash Position (Post- Cash Sweep)	0.0	0.0	0.0	0.0	0.0
Discretionary Term A Paydown	0.0	0.0	(1,723.5)	(4,405.0)	(4,838.1)
Discretionary Term B Paydown	(4,819.7)	(3,800.1)	(2,261.4)	0.0	0.0
Beginning Cash	1,000.0	1,000.0	1,000.0	1,000.0	1,000.0
Ending Cash	1,000.0	1,000.0	1,000.0	1,000.0	1,000.0

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Income Tax Schedule

(\$ Millions)

		<i>Projected</i>				
		2026	2027	2028	2029	2030
Tax Rate	21.0%					
Accounting EBT (as is on I/S)	A	5,944.1	5,893.8	5,998.1	6,287.0	6,583.2
Less: Reduction in EBT for timing differences		1,144.4	759.7	504.4	334.9	222.3
Government EBT	B	4,799.7	5,134.0	5,493.7	5,952.1	6,360.9
Accounting Taxes (21% of A)		1,248.3	1,237.7	1,259.6	1,320.3	1,382.5
Taxes as Appearing on Income Statement						
Current Tax (21% of B)		1,007.9	1,078.1	1,153.7	1,249.9	1,335.8
Increase (Decrease) in Deferred Income Taxes		240.3	159.5	105.9	70.3	46.7
Total Income Taxes (Same as Accounting Taxes Above)		1,248.3	1,237.7	1,259.6	1,320.3	1,382.5

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LBO Debt Schedule

(\$ Millions)					
	Projected				
	2026	2027	2028	2029	2030
Cash & Debt					
Cash					
Cash, BOP	1,000.0	1,000.0	1,000.0	1,000.0	1,000.0
Increases / (decreases)	4,819.7	3,800.1	3,984.8	4,405.0	4,838.1
Less: Cash Sweep	(4,819.7)	(3,800.1)	(3,984.8)	(4,405.0)	(4,838.1)
Cash, EOP	1,000.0	1,000.0	1,000.0	1,000.0	1,000.0
Interest rate on cash	3.00%	3.00%	3.00%	3.00%	3.00%
Interest income	0.0	0.0	0.0	0.0	0.0
Revolver					
Cash, BOP	1,000.0	1,000.0	1,000.0	1,000.0	1,000.0
Less: Minimum cash desired	(1,000.0)	(1,000.0)	(1,000.0)	(1,000.0)	(1,000.0)
Equals: Excess cash at BOP	0.0	0.0	0.0	0.0	0.0
Plus: Free cash flows generated during period	4,819.7	3,800.1	3,984.8	4,405.0	4,838.1
<i>Cash available (needed) to paydown (draw from) revolver</i>	4,819.7	3,800.1	3,984.8	4,405.0	4,838.1
Revolver, BOP					
Increases / (decreases)	0.0	0.0	0.0	0.0	0.0
Revolver, EOP	0.0	0.0	0.0	0.0	0.0
<i>Maximum availability</i>	5,000.0	5,000.0	5,000.0	5,000.0	5,000.0
<i>Compliance check</i>	OK	OK	OK	OK	OK
Term Loan A					
Term Loan A, BOP	13,504.0	13,369.0	13,233.9	11,375.4	6,835.4
Mandatory paydown \$	135.0	135.0	135.0	135.0	135.0
Cash sweep (paydown from excess cash flows)	0.0	0.0	1,723.5	4,405.0	4,838.1
Term Loan A, EOP	13,369.0	13,233.9	11,375.4	6,835.4	1,862.3
<i>Mandatory paydown (% of original)</i>	1.00%	1.00%	1.00%	1.00%	1.00%
<i>Cash available for cash sweep</i>	0.0	0.0	1,723.5	4,405.0	4,838.1

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LBO Debt Schedule

(\$ Millions)

Term Loan B

Term Loan B, BOP	10,128.0	5,207.1	2,362.7	0.0	0.0
Mandatory amortization \$	101.3	101.3	101.3	0.0	0.0
Cash sweep (paydown from excess cash flows)	4,819.7	3,800.1	2,261.4	0.0	0.0
Term Loan B, EOP	5,207.1	2,362.7	0.0	0.0	0.0
<i>Mandatory paydown (% of original)</i>	1.00%	1.00%	1.00%	0.00%	0.00%
<i>Cash available for cash sweep</i>	4,819.7	3,800.1	3,984.8	4,405.0	4,838.1

Senior Secured

Senior Secured, BOP	3,376.0	3,376.0	3,376.0	3,376.0	3,376.0
Amortization	0.0	0.0	0.0	0.0	0.0
Senior Secured, EOP	3,376.0	3,376.0	3,376.0	3,376.0	3,376.0
<i>Coupon</i>	6.50%	6.50%	6.50%	6.50%	6.50%
<i>Coupon Payment</i>	219.4	219.4	219.4	219.4	219.4

Senior Unsecured

Senior Unsecured, BOP	3,376.0	3,376.0	3,376.0	3,376.0	3,376.0
Amortization	0.0	0.0	0.0	0.0	0.0
Senior Unsecured, EOP	3,376.0	3,376.0	3,376.0	3,376.0	3,376.0
<i>Coupon</i>	7.50%	7.50%	7.50%	7.50%	7.50%
<i>Coupon Payment</i>	253.2	253.2	253.2	253.2	253.2

Capitalized financing fees

Capitalized financing fees, BOP	438.9	376.2	313.5	250.8	188.1
Amortization	(62.7)	(62.7)	(62.7)	(62.7)	(62.7)
Capitalized financing fees, EOP	376.2	313.5	250.8	188.1	125.4

Repayments Under Financing Arrangements

236.3	236.3	236.3	135.0	135.0
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Total Long Term Debt

25,328.0	22,348.6	18,127.4	13,587.4	8,614.3
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LBO Debt Schedule

(\$ Millions)

			Projected				
			2026	2027	2028	2029	2030
Interest Expense							
Median Fed Funds Rate (SOFR Proxy)			3.60%	3.60%	3.60%	3.60%	3.60%
	SOFR Spread	SOFR floor					
Revolver	1.00%	1.00%	0.0	0.0	0.0	0.0	0.0
Term Loan A	2.25%	1.00%	0.0	0.0	0.0	0.0	0.0
Term Loan B	3.50%	1.00%	0.0	0.0	0.0	0.0	0.0
Senior Secured			219.4	219.4	219.4	219.4	219.4
Senior Unsecured			253.2	253.2	253.2	253.2	253.2
Annual Interest Expense			472.6	472.6	472.6	472.6	472.6
Net Interest Expense			472.6	472.6	472.6	472.6	472.6
			Projected				
			2026	2027	2028	2029	2030
Credit Analysis							
Total Debt			25,328.0	22,348.6	18,127.4	13,587.4	8,614.3
Net Debt			24,328.0	21,348.6	17,127.4	12,587.4	7,614.3
Gross Leverage			3.5x	3.1x	2.5x	1.8x	1.1x
Net Leverage			3.4x	3.0x	2.4x	1.7x	1.0x
Interest Coverage			15.1x	15.0x	15.3x	16.0x	16.7x

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Exit Valuation

(\$ Millions)

		Assumed Exit December 31, 2030						
EBITDA Multiple at Exit	Step 0.5x	6.0x	6.5x	7.0x	7.5x	8.0x	8.5x	9.0x
EBITDA at Exit		7,904.2	7,904.2	7,904.2	7,904.2	7,904.2	7,904.2	7,904.2
Enterprise Value		47,425.1	51,377.1	55,329.2	59,281.3	63,233.4	67,185.5	71,137.6
Net Debt								
Revolver		0.0	0.0	0.0	0.0	0.0	0.0	0.0
Term Loan A		1,862.3	1,862.3	1,862.3	1,862.3	1,862.3	1,862.3	1,862.3
Term Loan B		0.0	0.0	0.0	0.0	0.0	0.0	0.0
Senior Secured		3,376.0	3,376.0	3,376.0	3,376.0	3,376.0	3,376.0	3,376.0
Senior Unsecured		3,376.0	3,376.0	3,376.0	3,376.0	3,376.0	3,376.0	3,376.0
Cash		(1,000.0)	(1,000.0)	(1,000.0)	(1,000.0)	(1,000.0)	(1,000.0)	(1,000.0)
Equity Value		39,810.8	43,762.8	47,714.9	51,667.0	55,619.1	59,571.2	63,523.3

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LBO Returns

(\$ Millions)				<i>Projected</i>				
				2026	2027	2028	2029	2030
	MOIC	IRR	Initial					
Revolver	0.00x	0	0.0	0.0	0.0	0.0	0.0	0.0
Term Loan A	1.23x	5.31%	(13,504.0)	135.0	913.2	2,578.3	5,072.7	7,089.8
Term Loan B	1.10x	5.21%	(10,128.0)	4,920.9	4,207.6	2,446.5	0.0	0.0
Senior Secured Note	1.33x	6.50%	(3,376.0)	219.4	219.4	219.4	219.4	3,595.4
Senior Unsecured Note	1.38x	7.50%	(3,376.0)	253.2	253.2	253.2	253.2	3,629.2
Sponsor's Equity at exit EBITDA multiple of:								
6.00x	2.07x	15.65%	(19,244.9)	0.0	0.0	0.0	0.0	39,810.8
6.50x	2.27x	17.86%	(19,244.9)	0.0	0.0	0.0	0.0	43,762.8
7.00x	2.48x	19.91%	(19,244.9)	0.0	0.0	0.0	0.0	47,714.9
7.50x	2.68x	21.84%	(19,244.9)	0.0	0.0	0.0	0.0	51,667.0
8.00x	2.89x	23.65%	(19,244.9)	0.0	0.0	0.0	0.0	55,619.1
8.50x	3.10x	25.36%	(19,244.9)	0.0	0.0	0.0	0.0	59,571.2
9.00x	3.30x	26.98%	(19,244.9)	0.0	0.0	0.0	0.0	63,523.3

Sensitivity Analysis

	Actual	<i>Offer Price / Share At Various Sponsor Hurdle Rates</i>					
		15.00%	20.00%	25.00%	30.00%	35.00%	40.00%
Sponsor Hurdle Rate (Minimum IRR)							
Offer value	46,303.0	50,780.8	46,233.6	42,693.3	39,909.1	37,699.1	35,929.9
Diluted shares outstanding	952.4	952.4	952.4	952.4	952.4	952.4	952.4
Offer value / per share	48.6	53.3	48.5	44.8	41.9	39.6	37.7
% Premium / discount	6.92%	17.26%	6.76%	-1.42%	-7.85%	-12.95%	-17.03%
Enterprise value	47,264.0	51,741.8	47,194.6	43,654.3	40,870.1	38,660.1	36,890.9
EV / LTM EBITDA multiple	7.00x	7.66x	6.99x	6.47x	6.05x	5.73x	5.46x

PayPal

Sources

Primary sources (company SEC / regulatory filings and press releases) except where noted; market data via Koyfin. Precedent-transaction sources are also attached as comments on the relevant cells in the Precedents tab.

PayPal (Target) — Company Financials & Market Data

PayPal FY2025 Form 10-K (SEC EDGAR, period ended 12/31/2025)

Supports: revenue, TPV, customer-funds balances & yields, EBITDA, balance sheet, capex, D&A and working-capital inputs

Used across: the Revenue Build, IS, BS, CFS, Assumptions, DCF and LBO tabs

Key information: debt maturity / repayment schedule (p. 105);

minimum-cash & money-transmitter licensing constraints (pp. 10, 44); diluted shares outstanding (cover page, as of 1/28/2026)

PayPal (NASDAQ: PYPL) — share price \$45.47 and 52-week range \$38.46–\$79.50, as of 7/1/2026 (Koyfin)

Comparable Companies (Comps)

Koyfin — market value, enterprise value, revenue and EBITDA for Block, Adyen, Fiserv, Global Payments, Fidelity National Information Services (FIS) and Shift4, as of 7/1/2026

Valuation Inputs — DCF (WACC & Terminal Value)

Risk-free rate (4.37%) — U.S. 10-Year Treasury yield (U.S. Department of the Treasury)

Equity beta (1.34) — Yahoo Finance

Equity risk premium (5.0%) — model assumption (long-run U.S. equity premium)

PayPal

Sources

Precedent Transactions

Worldpay / Global Payments — announced 4/17/2025, completed 1/9/2026

Global Payments press release — agreements to acquire Worldpay (4/17/2025)
SEC 8-K (EX-99.1) — deal terms; \$600M cost / \$200M revenue synergies
Global Payments — Worldpay transaction page (completion 1/9/2026)
FIS Q1-2024 results — Worldpay discontinued-ops revenue / EBITDA reference

Global Blue / Shift4 — announced 2/16/2025, completed 7/3/2025

Shift4 press release — agreement to acquire Global Blue (\$7.50/sh, 15% premium, ~\$2.5B EV)
SEC 6-K — Global Blue deal terms (common + Series A/B preferred)
Global Blue FY24/25 results (6/4/2025) — revenue €508M, adj. EBITDA €202M, net debt €487.7M
Shift4 — completion of Global Blue acquisition (7/3/2025)

Nuvei / Advent International (financial-sponsor LBO) — announced 4/1/2024, completed 11/15/2024

Nuvei SEC 6-K (EX-99.1) — take-private by Advent (\$34.00/sh, 56% premium, ~\$6.3B EV)
Advent International press release — Nuvei take-private terms / rollover
Nuvei FY2023 results (6-K) — revenue \$1,189.9M, adj. EBITDA \$437.3M, leverage 2.5x
Nuvei SEC 6-K — completion of arrangement (11/15/2024)

EVO Payments / Global Payments — announced 8/1/2022, completed 3/24/2023

SEC 8-K (EX-99.1) — Global Payments to acquire EVO (\$34.00/sh, 24% premium, \$4.0B EV)
EVO Q2-2022 results — balance sheet / leverage (6/30/2022)
EVO FY2021 results & FY2022 guidance — revenue ~\$555M, adj. EBITDA ~\$203M

PayPal Sources

First Data / Fiserv — announced 1/16/2019, completed 7/29/2019

Fiserv / First Data SEC 8-K (EX-99.2) — deal terms (\$22B equity, 0.303x, 29% premium)

SEC Form 425 — \$900M cost / \$500M revenue synergies

First Data FY2018 Form 10-K — segment revenue \$8,657M, EBITDA \$3,264M, D&A \$976M, NI \$1,005M

First Data FY2018 and Q1 and Q2 FY2019 results

Honey / PayPal — announced 11/20/2019, completed Jan 2020

PayPal press release — agreement to acquire Honey (~\$4B)

TechCrunch (news) — '\$4 billion, mostly cash' consideration detail

Fortune (news) — Honey FY2018 revenue >\$100M / >100% growth (PayPal-disclosed)